



MODULE 02 · PRICE ACTION

Candlestick Basics

Every candle is a tiny story of a fight between buyers and sellers. Learn to read the body, the wicks, and the one number that settles it — the close.

BEGINNER

22 MIN READ

“Discipline before conviction.”

BY THE END, YOU WILL BE ABLE TO

01

Name every part of a candle — **body, wick, open, high, low, close**

02

Tell a **wick touch** from a **confirmed close**

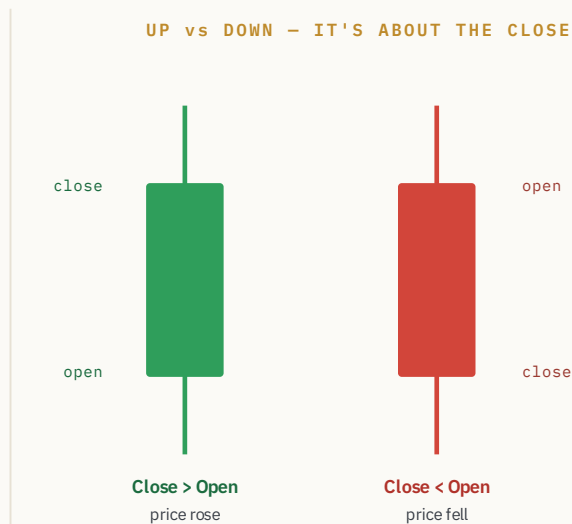
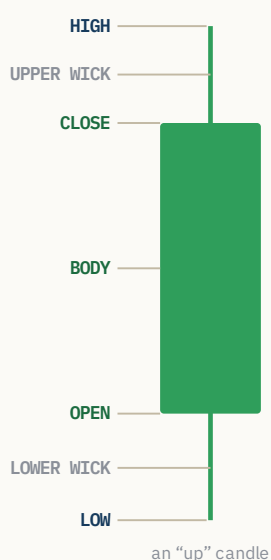
03

Spot **rejection & continuation** without proprietary rules

01 THE FOUR PRICES IN ONE SHAPE

Anatomy of a candle

A single candlestick packs four prices — open, high, low, and close — into one shape you can read at a glance.



Open — the first traded price of the period. **Close** — the last. The thick **body** spans the distance between them.

High / Low — the farthest price reached up and down. The thin **wicks** (or shadows) stretch out to them.

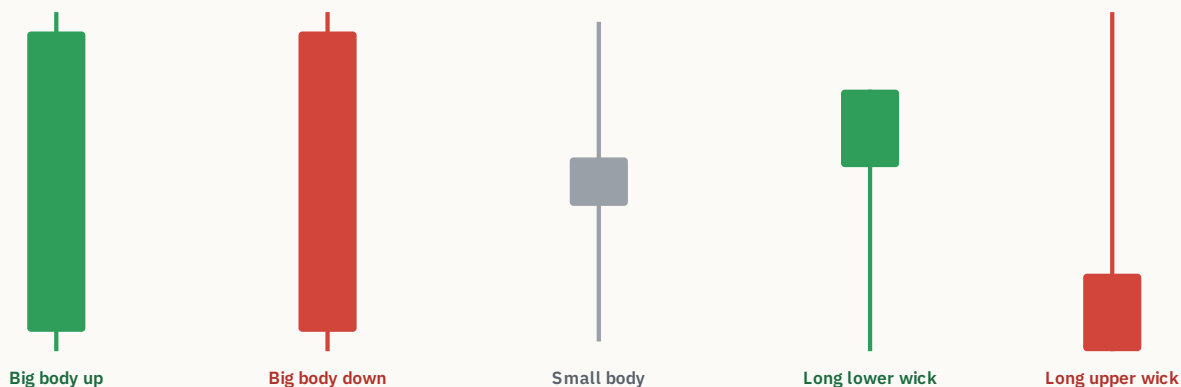
◆ KEY IDEA

Colour comes from one comparison only: if the candle **closed higher** than it opened, it's up (green); if it **closed lower**, it's down (red). Everything else is detail.

02 BODY VS WICK

Big body, small body, long wick

The *proportions* of a candle hint at the balance of pressure during the period. Read tendencies, never certainties.



- ◆ **A long body** means one side dominated start to finish — strong, decisive movement.
- ◆ **A small body** means open and close finished near each other — a tug-of-war, indecision.
- ◆ **A long lower wick** means price was pushed down but buyers shoved it back up before the close.
- ◆ **A long upper wick** means price ran up but sellers dragged it back down before the close.

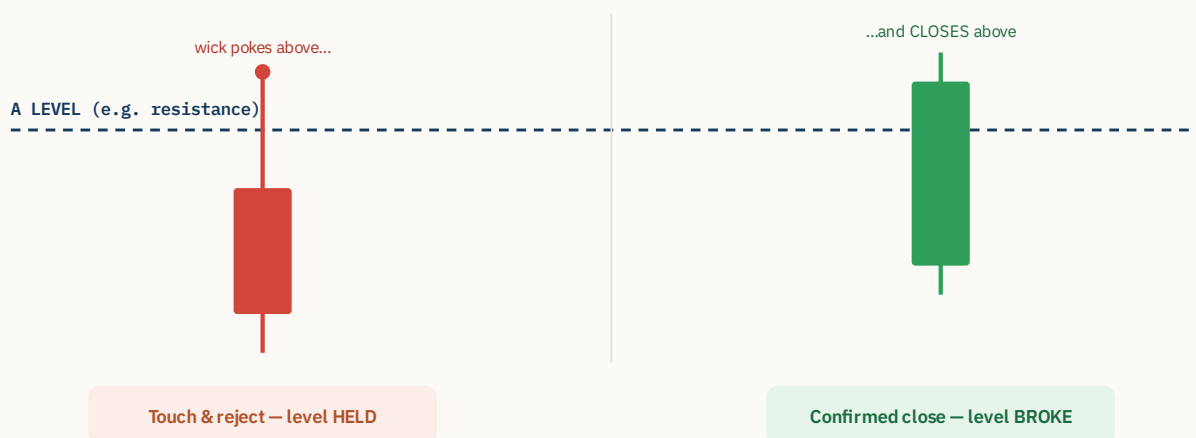
▲ WATCH OUT

A shape is a **hint**, not a signal. One candle in isolation rarely means much — context (where it forms and what comes next) is what gives it meaning. We build that context over the next pages.

03 THE CLOSE IS THE TRUTH

A wick touch is not a confirmed close

This single distinction separates patient traders from the ones who get faked out. A level isn't broken until a candle *closes* through it.



On the left, price **pierces** the level with a wick but the body closes back below it. Buyers tried, sellers won by the close — the level **held**. On the right, the body finishes **above** the level. That is a **confirmed close**, and it carries far more weight.

■ IN PLAIN ENGLISH

Intrabar, price wanders everywhere. The **close** is the market's final word for that period. "Wait for the close" simply means: don't trust a poke — wait to see where the candle actually finishes.

◆ KEY IDEA

A touch asks a question. A **close** answers it. Acting on the touch is guessing; acting on the close is confirmation.

04 WHEN A LEVEL PUSHES BACK

Reading rejection

Rejection is just the visible footprint of one side losing a fight at a price. You can read it from the wick — no special rules required.

RESISTANCE ABOVE



Long UPPER wick
sellers rejected higher prices

SUPPORT BELOW



Long LOWER wick
buyers rejected lower prices

A long wick is the trace of an attempt that **failed by the close**. Price reached toward a level, met opposing pressure, and was driven back. The longer the wick relative to the body, the more emphatic the rejection.

■ WHERE IT MATTERS

Rejection means most where price meets a **level that already mattered** — a prior high/low or a much-watched round number. The same wick in empty space says far less.

▲ NO MAGIC RULES

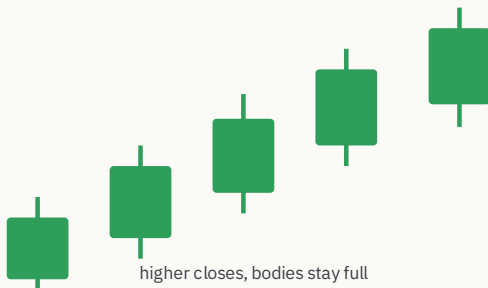
You don't need named patterns or proprietary "setups." Ask one plain question: **did one side try and fail at a price that matters?**

05 WHEN ONE SIDE KEEPS WINNING

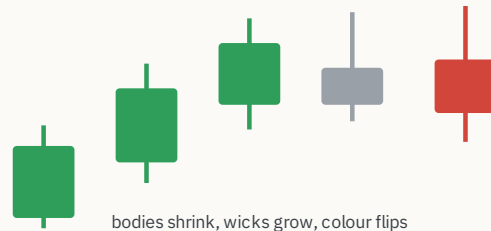
Continuation vs stall

If rejection is one side failing, continuation is one side *keeping* control candle after candle. Here's what each looks like.

CONTINUATION – TREND INTACT



STALL – MOMENTUM FADING



- ◆ **Healthy continuation:** closes keep progressing the same direction and bodies stay decisive.
- ◆ **Warning of a stall:** bodies shrink, wicks lengthen, and candles start closing against the move.
- ◆ Continuation is about the **sequence of closes**, not any single candle's shape.

◆ KEY IDEA

Trend is just **continuation repeated**. You'll formalise this in *Trend & Moving Averages* — but it starts here, with reading one close after another.

06 SHAPES WORTH KNOWING

A beginner's field guide

A few recurring shapes, in plain terms. Learn what each *suggests* — then always check the context around it.

**Strong body**

One side dominated the whole period.

**Doji**

Open & close nearly equal — indecision.

**Hammer**

Long lower wick — buyers defended.

**Shooting star**

Long upper wick — sellers defended.

**Inside candle**

Smaller range than the last — a pause.

**Engulfing**

A big body that swallows the prior one.

▲ THE BEGINNER TRAP

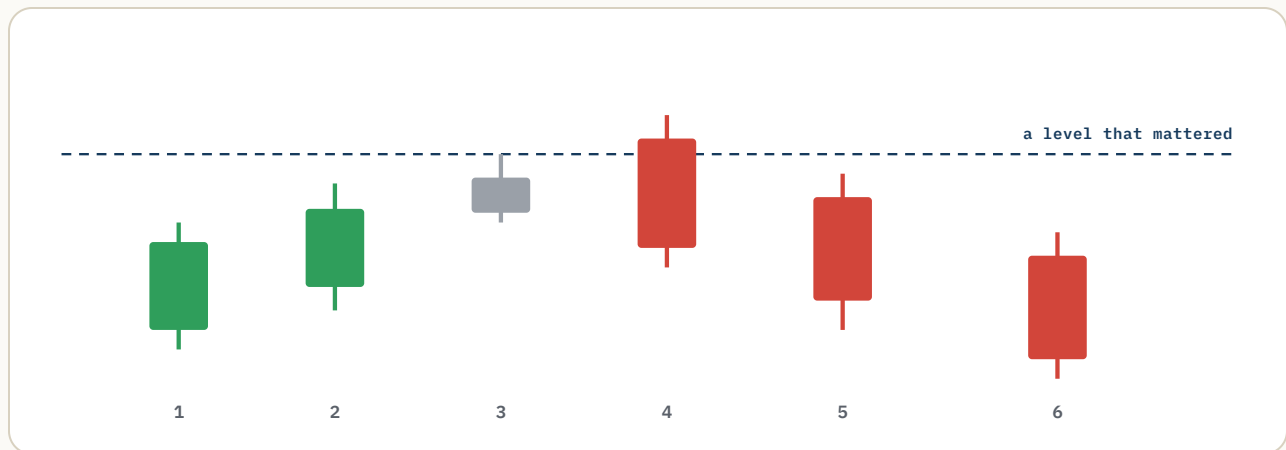
It is tempting to memorise dozens of named patterns and trade them on sight. Resist it. These names are **vocabulary, not signals**. A “hammer” mid-nowhere is just a candle; a hammer at a level that already matters is a story worth reading.

Notice that every shape above reduces to the same three questions you already know: **where did it close, how big is the body, and which wick is long?**

07 READ A SEQUENCE

Reading six candles like a sentence

Candles are read left to right, like words. Here is a short sequence narrated the way a patient trader would think through it.



- 1 Strong green body — buyers in control, pushing toward the level.
- 2 Another green close, but a smaller body. Progress is slowing as price nears the level.
- 3 A small-body candle right at the level — indecision. The advance has stalled here before.
- 4 Red body closes back below the level. The push **failed by the close** — rejection.
- 5 Sellers follow through with another red close. The story has flipped; continuation, the other way.

◆ KEY IDEA

No pattern names were needed. Just: **where is price relative to a level, what are the closes doing, and is one side failing or following through?** That is candlestick reading.

08 LOCK IT IN

What to carry forward

Six takeaways that turn a wall of candles into a readable story you can act on with patience.

- 1 A candle holds four prices: **open, high, low, close**.
- 2 Green vs red is decided by the **close vs the open** — nothing else.
- 3 Body = conviction; **long wick = rejection** at a price.
- 4 A **wick touch is a question; a confirmed close is the answer**.
- 5 Continuation is a **sequence of closes**, not one candle.
- 6 Shapes are **vocabulary, not signals** — context decides meaning.

A-Z QUICK GLOSSARY

Open / Close

First and last traded price of the period.

Body

Filled area between open and close.

Confirmed close

A body finishing through a level — the 'answer'.

Continuation

Closes progressing the same direction.

High / Low

The extreme prices reached up and down.

Wick / Shadow

Thin line to the high or low.

Rejection

A long wick where one side tried and failed.

Doji

Open & close nearly equal — indecision.

UP NEXT IN THE PATH

Risk & Sizing

The habit that keeps traders alive: size, invalidation, daily stop.

03

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